

P.O. Box 773132
Harrisburg, PA 17177-3132
CapitalBlueCross.com

☐ UPDATE ☐ NEW ☐ BENEFIT CHANGE

APPLICATION FOR GROUP BENEFITS

IF UPDATE ONLY, COMPLETE SECTION 1 AND PROVIDE SIGNATURE.

Incomplete group application may result in a delayed implementation.

GROUP NUMBER

PROPOSED EFF. DATE

1. GROUP INFORMATION

Company name		Nature of business		SIC code	
Physical address (street)		(City)	(State)	(ZIP)	(County)
Mailing address (PO box, Suite)		(Street)	(City)	(State)	(ZIP)
☐ Same as physical address					
Phone ()			Fax ()		
Policy maker name		Title	Email		
Group administrator's name		Title	Email		
New employees eligible to enroll/apply ☐ Date of hire ☐ Billing date ☐ 1st of month following date of hire					
☐ Other _____					
Tax identification number		Date business established		Number of hours your employees must work per week to be eligible for group coverage	
Workers' compensation carrier			Effective date of policy		Policy number
Are you purchasing these group benefits as part of a trust, consortium, coalition, association, union, or an arrangement involving multiple employer groups? ☐ Yes ☐ No					
If yes, please provide the name of the arrangement:					

2. COVERAGE ELECTION

A. List below all plans you wish to enroll subscribers in (Please enter either Plan Name or Plan ID)

	OPTION 1	OPTION 2	OPTION 3	OPTION 4	OPTION 5
MEDICAL/ DRUG					
	DENTAL OPTION 1	DENTAL OPTION 2		VISION OPTION 1	VISION OPTION 2
DENTAL			VISION		
SENIOR ☐ YES ☐ NO		OTHER			

B. Do you want to provide coverage under PA Act 4? (See instruction page for more information.) ☐ YES ☐ NO

C. How would you like us to administer your benefit period for medical and Rx?

☐ Calendar year (Jan–Dec) ☐ Plan year (renewal–renewal)

Please note: All groups enrolling with fewer than 100 subscribers must elect plan year for medical and Rx accumulators.

Standard dental benefits are administered based on calendar year and vision benefits are administered based on date of service. Only groups that have the option to customize benefits have the option of calendar year or plan year designs.

3. EMPLOYER COUNT REQUIREMENTS (See instruction page for more information.)

A. Medicare secondary payer law:

Does employer employ 20 or more employees under the MSP laws? ☐ Yes ☐ No

Does employer employ 100 or more employees under the MSP laws? ☐ Yes ☐ No

B. PPACA: What was your average number of employees during the **prior** calendar year?

☐ Under 51 employees

☐ 51 – 100 employees

☐ 101 or more employees

4. FEDERAL DOCUMENTATION

A. Enter Group name exactly as filed on the IRS W-9 form for Taxpayer Identification Number

B. ERISA plan classification (must only choose one)

☐ ERISA plan — if you have an ERISA plan year end date, please provide _____ (MM/DD)

☐ Non-federal government plan ☐ Federal government plan ☐ Non-government/Non-ERISA plan

C. Federal tax classification (must only choose one)

☐ Individual/sole proprietor ☐ Partnership

☐ Limited Liability S-Corp ☐ Non-profit

☐ C-Corporation ☐ Trust/Estate

☐ Limited Liability partnership ☐ Government

☐ S-Corporation ☐ Limited Liability C-Corp

☐ Exempt payee

TERMS AND CONDITIONS OF GROUP APPLICATION FOR COVERAGE

An application signed by group's authorized representative constitutes group's acceptance of all terms and conditions of any contract(s)/policies issued in connection with the application ("Contract"), and becomes part of the Contract between group and Capital BlueCross ("Company")

Group will maintain all records necessary for the administration of its group benefits, and will provide Company all necessary information to administer the same. Coverage will become effective upon approval of this application by Company in accordance with its underwriting guidelines, and when applicable premiums or fees are paid in full. Acceptance of a deposit by Company DOES NOT constitute approval of coverage. Company will notify you if your coverage is approved.

Groups must pay premiums or fees, as applicable, when due. If group does not pay premiums or fees in full when due and coverage is terminated, group must pay all past due premiums or fees owed to any issuer in the Company's family of companies for the prior 12 month period in full before new coverage will be issued. Payments for premiums or fees made for new coverage will be first applied toward past due premiums or fees.

Group acknowledges and agrees that Company may rely on and use information provided by group to determine eligibility, premiums or fees, and comply with applicable federal and

state laws. Any material misrepresentation or fraudulent statement may result in, without limitation, group contract rescission, coverage termination, or premiums or fees increase. Periodically, Company may request information for plan administration or compliance purposes, group's failure to comply with the request(s) in a timely manner may result in, among other things, coverage termination.

Group agrees to obtain signed enrollment forms from all individuals enrolled in its group benefits plan, and will retain such forms for at least seven (7) years. Company will provide enrollment forms to group upon request. Alternatively, if group utilizes an electronic or other enrollment system, it agrees to retain a record of such enrollment of each enrolled individual for at least seven (7) years. All enrollment forms utilized by group must contain the following fraud warning notice as required by applicable State laws:

Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties.

The above fraud warning notice is hereby provided for the purpose of this application.

Photocopies and/or facsimiles of this signed and completed document shall be as valid as the original.

Retain a copy of this application for your records.

STOP! READ ABOVE CAREFULLY BEFORE SIGNING. The individual signing below represents and warrants that she/he is duly authorized and has legal capacity to sign and deliver this application on behalf of the group.

Authorized signature (required)

Date

Print name and title

Optional: You may provide other authorized signatory here for use on other documents. Print name and title:

Healthcare benefit programs issued or administered by Capital BlueCross and/or its subsidiaries, Capital Advantage Insurance Company®, Capital Advantage Assurance Company®, and Keystone Health Plan® Central. Independent licensees of the BlueCross BlueShield Association. Communications issued by Capital BlueCross in its capacity as administrator of programs and provider relations for all companies.

Instruction Sheet for Group Application

2B Coverage Election — Instructions

PA ACT 4: Pennsylvania law (Act 4 of 2009) requires health insurers to continue coverage of unmarried children through age 29 at the option of the employer. The employer group may determine the election at initial application and may change this election at time of their contract renewal. Act 4 dependents are not eligible for dental or vision coverage.

3 Employer Count Requirements — Instructions

The size of your company is one of the factors that determine whether certain federal and state laws apply to your health coverage. Not all of these laws use the same definition of employer size. Therefore, in order to identify those laws that apply to your coverage, we ask several questions in section 3. These questions assist you in applying the proper counting standard for purposes of completing the application. If you are part of a controlled group, please provide the total number of employees in the controlled group. See the employer aggregation rules at IRC Section 414, to determine if you are part of a controlled group. If you need additional guidance, please consult your own legal counsel.

3A Medicare Secondary Payer Law — Instructions

The MSP laws are Federal laws that establish Medicare as the secondary payer to group coverage when a group health plan member is also eligible or entitled to received Medicare benefits, and when certain other conditions are met. Refer to 42 C.F.R. 411. Employer size, not the number of employees or subscribers enrolled in the group health plan, is one of the factors used to determine primary and secondary status.

1. DOES EMPLOYER EMPLOY 20 OR MORE EMPLOYEES UNDER THE MSP LAWS?

To answer, ask yourself:

Have you, the employer, employed 20 or more employees (including full-time (FT), part-time (PT), leased, intermittent, and seasonal employees and employees on short term disability) for each working day in each of 20 or more calendar weeks (not necessarily consecutive) in the current calendar year or the preceding calendar year?

2. DOES EMPLOYER EMPLOY 100 OR MORE EMPLOYEES UNDER THE MSP LAWS?

To answer, ask yourself:

Have you, the employer, employed 100 or more employees (including FT, PT, leased, intermittent, and seasonal employees and employees on short term disability) for 50 percent or more of your regular business days during the previous calendar year?

For additional information regarding your obligation to comply with the MSP laws and regulations, and how employer size is calculated under the Working-Aged “20 or more” employee test and the Disabled “100 or more” employee test, please consult the Centers for Medicare and Medicaid Services (CMS) MSP regulation (42 C.F.R. Part 411.170(a) and 411.101(definition, Large Group)), and applicable CMS manual guidance (available at [cms.gov/Regulations-and-Guidance/Guidance/Manuals/downloads/msp105c02.pdf](https://www.cms.gov/Regulations-and-Guidance/Guidance/Manuals/downloads/msp105c02.pdf)) or your own legal counsel. You may also refer to examples applying the “20 or more” employee test and the “100 or more” employee test in the Group Administrator’s Manual available at [capbluecross.com/employers/resources](https://www.capbluecross.com/employers/resources).

PPACA and its implementing regulations provide a number of mandates controlling many aspects of coverage and rating methodologies to be used for Large groups (51 or more employees) vs. Small groups (fewer than 51 employees). Certain other Federal and State laws impact employers of different sizes. For example, Pennsylvania law mandates that an employer with 51 or more employees provide coverage for the diagnostic assessment and treatment of Autism Spectrum Disorders.

WHAT WAS YOUR AVERAGE NUMBER OF EMPLOYEES DURING THE PRIOR CALENDAR YEAR?

To answer, ask yourself:

*What is the average number of **employees** employed by my company on business days during the prior calendar year?*

To calculate the average number of **employees** the following method should be used:

Total Number of Employees — The average number of employees can be calculated by counting all common-law employees (including full-time, part-time, seasonal intermittent, and in and out of area employees to whom you issue a W-2) that were employed during each calendar month of the year, adding together the counts for each month, and dividing by twelve. Average number of employees should be calculated as of the end of the calendar year ending immediately prior to the calendar year in which coverage becomes effective or renews. If prior calendar year is not finished when completing this form, do an actual count for the months that have passed already and estimate the count for the months still to come during the year. If your business was not established in the prior calendar year, you can use your current year estimate employment count.

For more information on group size determination, groups should consult with their tax advisor or attorney. For more information on Pennsylvania State and Federal benefit mandates, please visit the Essential Health Benefits section of the Center for Consumer Information and Insurance Oversight website at: cciio.cms.gov/.

IMPORTANT: This document is provided as a guide only and should not be considered legal advice. It is ultimately the group's decision on how they define an employee. It is also the group's responsibility to determine their employer size.

Instruction sheet (*do not return*) — 2 of 2